

Extract E

Buy it Direct

Buy it Direct is one of the largest online retailers in the UK. Established in 1999, it employs over 250 staff across three sites in Huddersfield, Barnsley and the East Midlands. The business is split into separate divisions, each of which is responsible for managing its own budget. The head of each division reports directly to Buy it Direct's Chief Executive.

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Buy it Direct was one of the first e-commerce businesses in the UK to sell computers and electronics and then moved into also selling kitchen appliances, televisions and furniture.

Buy it Direct offers competitive prices and high levels of customer service. For example, it has a customer call centre that provides product advice and offers additional services, such as arranging for the installation of new appliances. Buy it Direct aims to hold a wider range of stock than its competitors. It sells premium brands, such as Bosch and Zanussi, as well as lower priced 'own brand' products. A significant proportion of its products are imported from China.

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(Source: adapted from <https://www.laptopsdirect.co.uk/content/buyitdirect>)

Extract F

Buy it Direct's Chief Executive has set a target of 3 years payback for all investment projects including a new bathroom division with an estimated cost of £700 000.

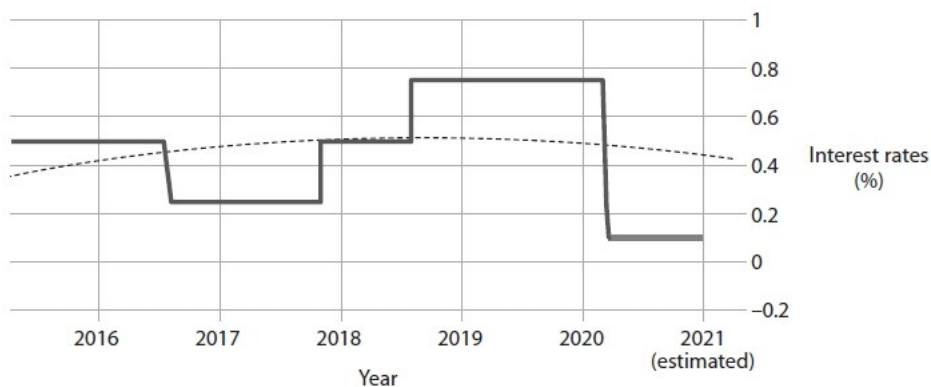
Cash-flow data for Buy it Direct's proposed new bathroom division

Year	Net cash-flow, £000s
1	200
2	200
3	200
4	200

(Source: figures provided by Nick Glynne, Chief Executive of Buy it Direct)

Extract G

UK interest rates 2016–2021 (estimated forecast for 2021)



(Source: adapted from <https://tradingeconomics.com/united-kingdom/interest-rate>)

Extract H

The UK electrical household appliance sector

It's been a challenging year for the sales of major domestic appliances, such as washing machines and televisions. The market has been growing at just 0.5% as a result of a slowing housing market and wavering consumer confidence. Most major domestic appliance purchases are triggered by replacing a broken or faulty appliance and this part of the market has remained unchanged. When buying household appliances, price and speed of delivery are key factors for consumers.

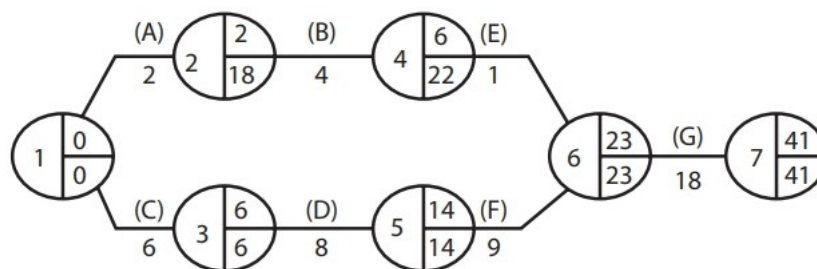
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High rates of innovation in the sector and introduction of smart technologies are helping to tempt some consumers to trade up. However, only a small proportion of consumers are willing to pay a higher price for the latest innovations. Meanwhile, research shows that style and design, combined with either price or quality, are the key to deciding which brand of major domestic appliance to buy.

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(Source: adapted from https://www.retailconomics.co.uk/retail-sector-electricals_market)

Buy it Direct's new Operations Director is in charge of installing a new IT system for the warehouses. This project must be completed within 45 weeks. The Operations Director has produced the following network diagram:



Assess the likely value of Critical Path Analysis (CPA) for the effective management of the installation of the new IT system.

(12)

(Total for question = 12 marks)

Q1.

Question Number	Indicative content	Mark
	Knowledge 2, Application 2, Analysis 4, Evaluation 4 QS 8: use and interpret quantitative and non-quantitative information in order to make decisions QS 9: interpret, apply and analyse information in written, graphical and numerical forms Indicative content Critical path analysis is the process of planning the sequence of activities in a project in order to discover the most efficient and quickest way of completing the project whilst ensuring that all stages are finished. Potential value of critical path analysis: - CPA enables Buy it Direct to schedule activities within a project simultaneously in this case completing the project in 41 weeks, 4 weeks ahead of the 45 week target. - The critical path of activities C,D,F and G can be identified - The float time for non-critical activities can be determined, e.g. A ($18-2-0 = 16$ weeks), B ($22-4-2 = 16$ weeks) and E ($23-1-6 = 16$ weeks). - CPA allows Buy it Direct to manage its cash flow better. For example, suppliers of equipment do not have to be paid until week 23. Potential limitations: - Accuracy of the figures. The Operations Director is new and may lack experience, therefore the project may take longer than the calculated 41 weeks. - Unexpected events may occur e.g. teething problems with the new equipment, which could delay the entire project beyond the 45 week deadline. - CPA may encourage focus on speed rather than quality. This could have a negative effect such as insufficient time for staff training (activity D).	
	Potential judgement - CPA is a valuable planning tool especially for such an important project as this. Any delay could cause significant problems for an e-commerce business such as Buy it Direct because customers expect prompt delivery of their electrical household goods. - The value of CPA to Buy it Direct could be dependent upon the actual implementation of each activity, e.g. staff recruitment and training may take longer than expected in which case critical path analysis is simply a planning tool.	(12)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding – recall based. Weak or no relevant application to business examples. Generic assertions may be presented.
Level 2	3–4	Elements of knowledge and understanding, which is applied to the business example. Chains of reasoning are presented, but may be assertions or incomplete. A generic or superficial assessment is presented.
Level 3	5–8	Accurate knowledge and understanding, supported by relevant and effective use of the business behaviour/context. Analytical perspectives are presented, with chains of reasoning, showing cause(s) and/or effect(s). An attempt at an assessment is presented, using quantitative and/or qualitative information, though unlikely to show the significance of competing arguments.
Level 4	9–12	Accurate and thorough knowledge and understanding, supported throughout by relevant and effective use of the business behaviour/context. A coherent and logical chain of reasoning, showing cause(s) and/or effect(s). Assessment is balanced, wide-ranging and well contextualised, using quantitative and/or qualitative information and shows an awareness of competing arguments/factors leading to a supported judgement.

Completed CPA for Buy it Direct

